

2000-2009

The DECADE that changed the world Business Without Borders

THE WORLD Becomes Flat

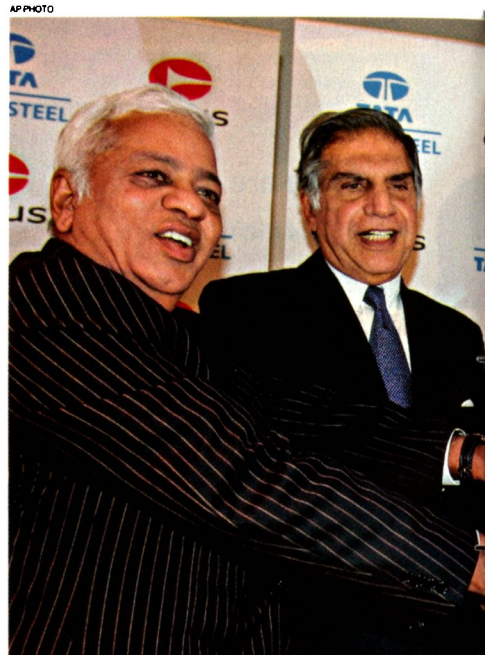
India may be a difficult destination for business, but it is going places globally with big-ticket takeovers

By Naina Lal Kidwai |

Being in India is no small deal. Not at a time when India is demonstrating the potential to become a key player in the world. The facts tell their own story: India is one of the fastest growing economies, despite the setback from the global meltdown, and has a potential for further growth. This growth may have started with a cost advantage, but it has now evolved into a value offering. At 7-8 per cent growth projections, we are second only to China. It was a hint of this potential held out by India that made me return here from the US to head HSBC Securities and Capital Markets, and with no regrets. Sure, the deal size there would have been bigger, in billions rather than in millions, but here, in India, there were the firsts: the first-ever listings of companies, the first-time entrepreneurs, the first signs of companies growing big and a sense of preparation for the big leap overseas. HSBC did the largest convertible issue ever out of India, in February 2007 with an issue size of \$1 billion for Reliance Communications. Of the approximately \$14 billion of assets that HSBC manages, around \$4.5 billion is managed out of India. Among our client portfolio is Unilever, which is HSBC's client in 17 countries, including India.

As our corporates grow in ambition and

CLOCKWISE FROM BELOW:
KUMAR MANGALAM BIRLA
(RIGHT) ANNOUNCES THE
NOVELIS DEAL; RATAN TATA
(2ND FROM LEFT) AFTER
INKING THE CORUS DEAL;
ANAND MAHINDRA (HOLD-
ING FLAG) IN CHINA



A BLUFFER'S GUIDE

- Indian firms acquired 866 foreign firms during 2000-2007, of which around 40 per cent were in the UK and US. According to the RBI, the total outward investment from India, excluding that from individuals and banks, rose 29.6 per cent to \$17.4 billion in 2007-08, largely due to acquisitions.
- The gradual Indian takeover of global companies spans continental Europe, Great Britain and Asia. The bids are driven by motive, confidence and opportunity. The motive—to access high-growth markets, technology and knowledge; the confidence to attain economies of size and scale, and the opportunity to tap global natural resources and leverage international brand names for their own brand building.
- Indian firms have created 3,00,000 jobs in the US, while contributing \$105 billion to the US economy during 2004-2007.